HMC ONE
AI STRATEGY. BUILT TO SCALE.

CLIENT CASE STUDY · HOME TEXTILES · TRADE MARKETING

DEALER NETWORK ACROSS INDIA · FOUR CATEGORIES · ONE SCHEME ENGINE

# Dealer Incentive Calculator

One scheme engine, a live India dashboard and a scheme simulator: sales leaders now design, test and explain dealer incentives before a rupee is committed.

~~114%~~ → **98%** payout vs budget, full year

**2** hours
Quarter-close incentive run
▼ from 6 working days

**72** % fewer
Dealer payout disputes
▼ every payout explained

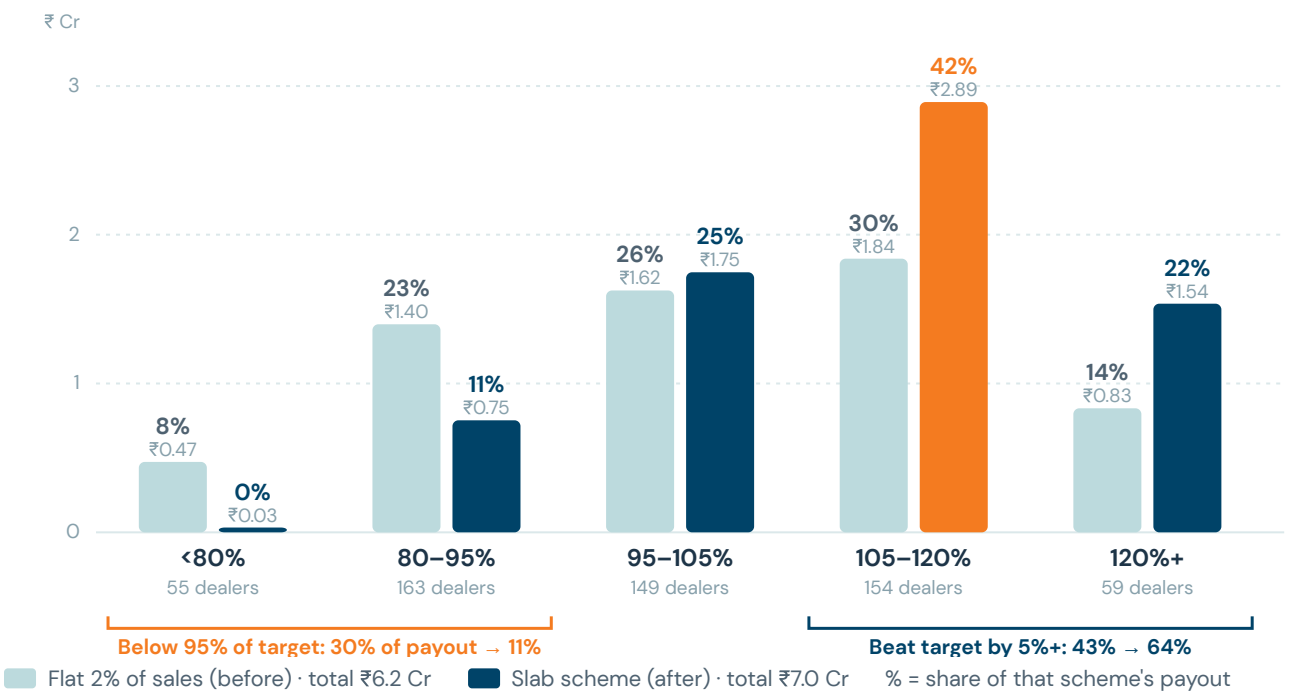
**₹2.4**
Incremental margin per ₹1 of incentive
▲ vs ₹1.3 on flat schemes

**98** %
Payout vs budget, full year
▲ from 114% overrun

Rings: six segments for the old six working days, the orange tick is the 2-hour run; disputes left (28%) against the earlier total inside; ₹2.4 outer with ₹1.3 inside on the same scale; 98% of budget with the old overrun (a full ring and more) inside. Figures indicative; validated metrics available on request.

## 01 Money now follows performance

Full-year payout by dealer achievement band · flat 2% vs slab scheme · ₹ Cr




BEFORE
**Flat schemes paid the laggards**
Under a flat 2%, 30% of all payout went to the 218 dealers below 95% of target.

AFTER
**Below-target share cut to 11%**
Dealers under 80% earn almost nothing; the money moves to those on and over target.

WHERE IT GOES NOW
**64% to dealers beating target**
The 105–120% band alone takes 42% of payout, up from 30% under the flat scheme.

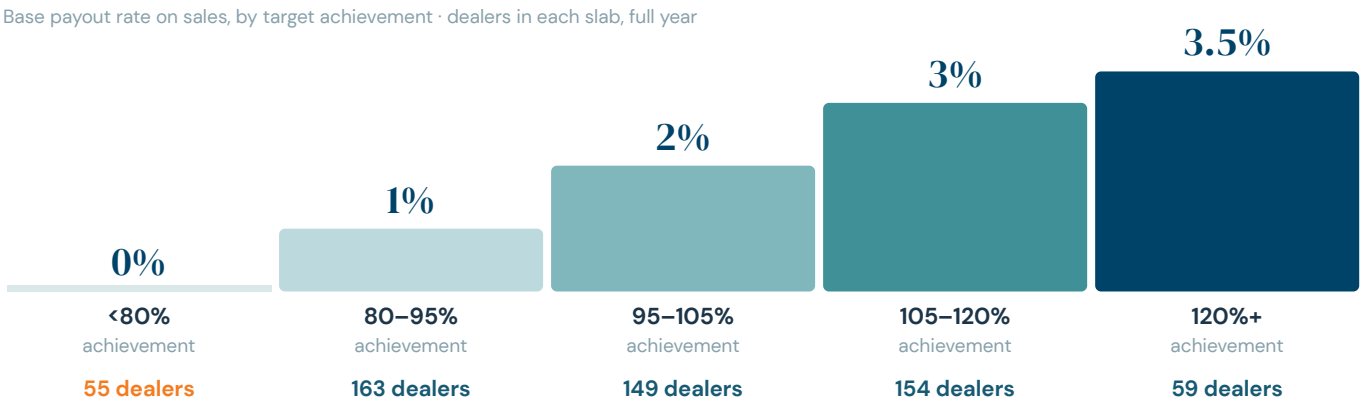
Computed from the dashboard's illustrative sample of 580 dealers; names, figures and scheme values are synthetic.

## 02 One scheme grammar, written as rules

Every regional circular rebuilt from the same five building blocks · current scheme values

( SLABS **Achievement rate** 0 / 1 / 2 / 3 / 3.5% of sales ) + KICKER **Growth** +0.5% if YoY ≥ 15% + KICKER **Focus category** +1% on rugs & carpets × GATE **Collections** ≥ 90% collected, else half × TIER **Multiplier** Platinum 1.1 · Gold 1.0 · Silver 0.9

Base payout rate on sales, by target achievement · dealers in each slab, full year




DASHBOARD DEFAULT VIEW
**FY 2025–26 · sample of 580 dealers**
Same engine feeds the India heatmap, dealer calculator and simulator

**₹7.0 Cr** incentive payout

| | |
|---|---|
| Dealer sales | ₹308 Cr |
| Target achievement | 100.4% |
| Payout % of sales | 2.26% |
| Dealers on target | 285 / 580 |
| Regions · states | 6 · 32 |

**Gap to next slab.** Area managers open any dealer in reviews: "₹X more gets you to the next slab".

## 03 Four pain points, four fixes

How incentives get run · before → after

BEFORE
**A spreadsheet per region**
Slabs, kickers and exceptions in separate files; a week of reconciling DMS sales and collections.

RULES ENGINE

AFTER
**One engine, refreshed monthly**
Calculation defined once, refreshed from DMS; statements come from the same logic.

BEFORE
**Flat schemes, flat results**
A flat percentage paid under-performers almost as much as stars.

SLABS + KICKERS

AFTER
**Rewards for beating target**
Slabs, growth and focus kickers, collection gate, tier multipliers.

BEFORE
**Disputes at payout**
Dealers saw a single number; area managers defended payouts line by line.

DEALER CALCULATOR

AFTER
**Every rupee explained**
Line-by-line statement and gap to the next slab; disputes resolved in minutes.

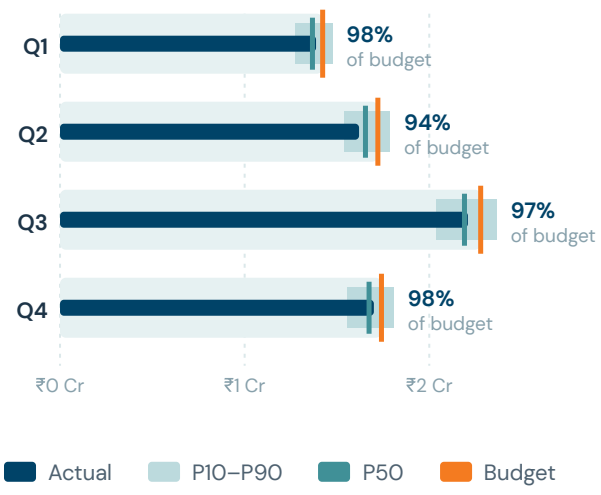
BEFORE
**Budget known too late**
Total payout clear only after quarter-close; schemes launched untested.

MONTE CARLO SIMULATOR

AFTER
**Cost known before launch**
2,000 simulations give a P10–P90 range and the chance of exceeding budget.

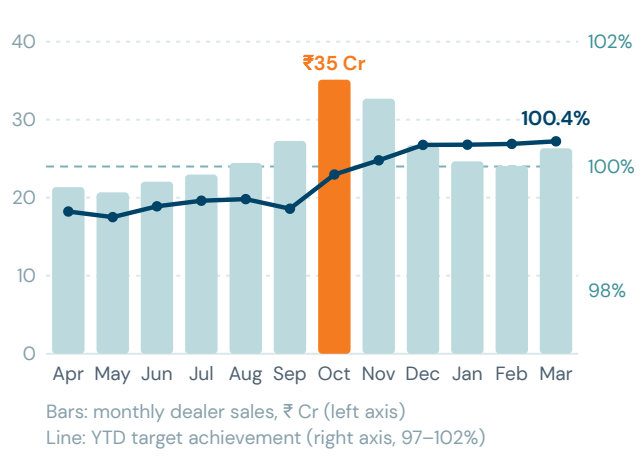
## 04 Payout against budget

Quarterly actual vs budget, with the simulator's range




## 05 Festive peak, on target

Dealer sales by month, FY 2025–26, all 580 dealers




Bars: monthly dealer sales, ₹ Cr (left axis)
Line: YTD target achievement (right axis, 97–102%)

## 06 How HMC ran it

**2 weeks** — **Discover**
Every circular, calculation sheet and dispute log; one dealer-month table.

**2 weeks** — **Design**
A standard scheme grammar; rulebook signed off by sales and finance.

**3 weeks** — **Build**
Claude turned circulars into rules; Python engine, dashboard, simulator.

**1 quarter** — **Adopt**
Every new scheme simulated before it goes to dealers.

**∞ ongoing** — **Scale**
Monthly refresh; extending to modern-trade and e-commerce schemes.

## What transfers to any channel incentive programme

**01 — Write the scheme as rules first**
Once a circular becomes a small set of rules, every calculation, statement and dispute uses the same logic.

**02 — Simulate before you announce**
A cost range and budget risk before launch is worth more than a precise number after the quarter closes.

**03 — Show dealers the gap, not just the payout**
"₹X more gets you to the next slab" changes behaviour. A final number at quarter-end does not.

Built with **Claude** · **Python** · **Power Query** · **Excel** · **D3.js** · **Power BI** | Prepared by Havish M Consulting · Figures indicative; validated metrics available on request.

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